Practice workbook · Why marketing matters: needs, loyalty and share

Why marketing matters: satisfying needs, customer relationships and loyalty, market and product orientation, and market share.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-10

1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

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(f) Explain **one** advantage for a business of having loyal customers.

(3)

1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

(g) Analyse why *Yellow* might encourage its clothing manufacturers to use Kaizen.

(6)

(Total for Question 1 = 20 marks)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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2. Question 2 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

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2 *Emirates* wants to encourage its employees to remain with the company and offers them incentives to do so. It offers all of its passengers a loyalty programme.

(a) State **one** non-financial method *Emirates* could use to motivate its employees. **(1)**

(b) State **one** reason why *Emirates* has a loyalty programme for its passengers. **(1)**

(c) Explain **one** benefit for a business of having full-time employees. **(3)**

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Many countries are concerned about the environment and the amount of plastic waste created. In 2018 the value of recycled plastic was $41.73 billion (US dollars). Experts are predicting that this value will increase by 6.6% by 2027.

(e) Calculate, to two decimal places, the predicted value of recycled plastic for 2027. You are advised to show your working.

(2)

$ ..... billion

(f) Explain **one** reason why businesses comply with equal opportunities legislation.

(3)

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P 7 5 8 4 4 A 0 7 2 0

6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

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8. Question 2 · part b · 1 mark · Working and answer

Working and answer

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9. Question 3 · part b · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

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9. Question 3 · part b · 2 marks · Working and answer

Working and answer

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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10. Question 2 · part c · 3 marks · Working and answer

Working and answer

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11. Question 3 · part b · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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11. Question 3 · part b · 2 marks · Working and answer

Working and answer

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** advantage of a partnership.

(3)

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(e) Explain **one** disadvantage to a business of product orientation.

(3)

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Aude Rose is looking to increase its sales. It is considering two options:

Option 1: sponsor a local event such as a flower show

Option 2: advertise, using leaflets around Paris.

(f) Justify which **one** of these two options *Aude Rose* should choose.

(9)

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12. Question 2 · part e · 3 marks · Working and answer

Working and answer

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13. Question 2 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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13. Question 2 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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13. Question 2 · part c · 3 marks · Working and answer

Working and answer

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Analyse why customer satisfaction might be important to *Lavender*.

(6)

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(Total for Question 1 = 20 marks)

14. Question 1 · part g · 6 marks · Working and answer

Working and answer

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(f) Explain **one** way a business could increase its **gross profit margin**.

(3)

(g) Analyse the importance to *Backyard Shoez* of satisfying customer needs.

(6)

(Total for Question 1 = 20 marks)

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15. Question 1 · part g · 6 marks · Working and answer

Working and answer

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(f) Explain **one** strategy a small business might use to extend the product life cycle of one of its products.

(3)

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(g) Analyse the importance of marketing to *NOF*.

(6)

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(Total for Question 1 = 20 marks)

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16. Question 1 · part g · 6 marks · Working and answer

Working and answer

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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Many countries are concerned about the environment and the amount of plastic waste created. In 2018 the value of recycled plastic was $41.73 billion (US dollars). Experts are predicting that this value will increase by 6.6% by 2027.

(e) Calculate, to two decimal places, the predicted value of recycled plastic for 2027. You are advised to show your working.

(2)

$ ..... billion

(f) Explain **one** reason why businesses comply with equal opportunities legislation.

(3)

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(g) Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied.

(6)

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(Total for Question 1 = 20 marks)

17. Question 1 · part g · 6 marks · Working and answer

Working and answer

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

..... %

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

(6)

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Evaluate the importance of marketing for *Cadbury* when introducing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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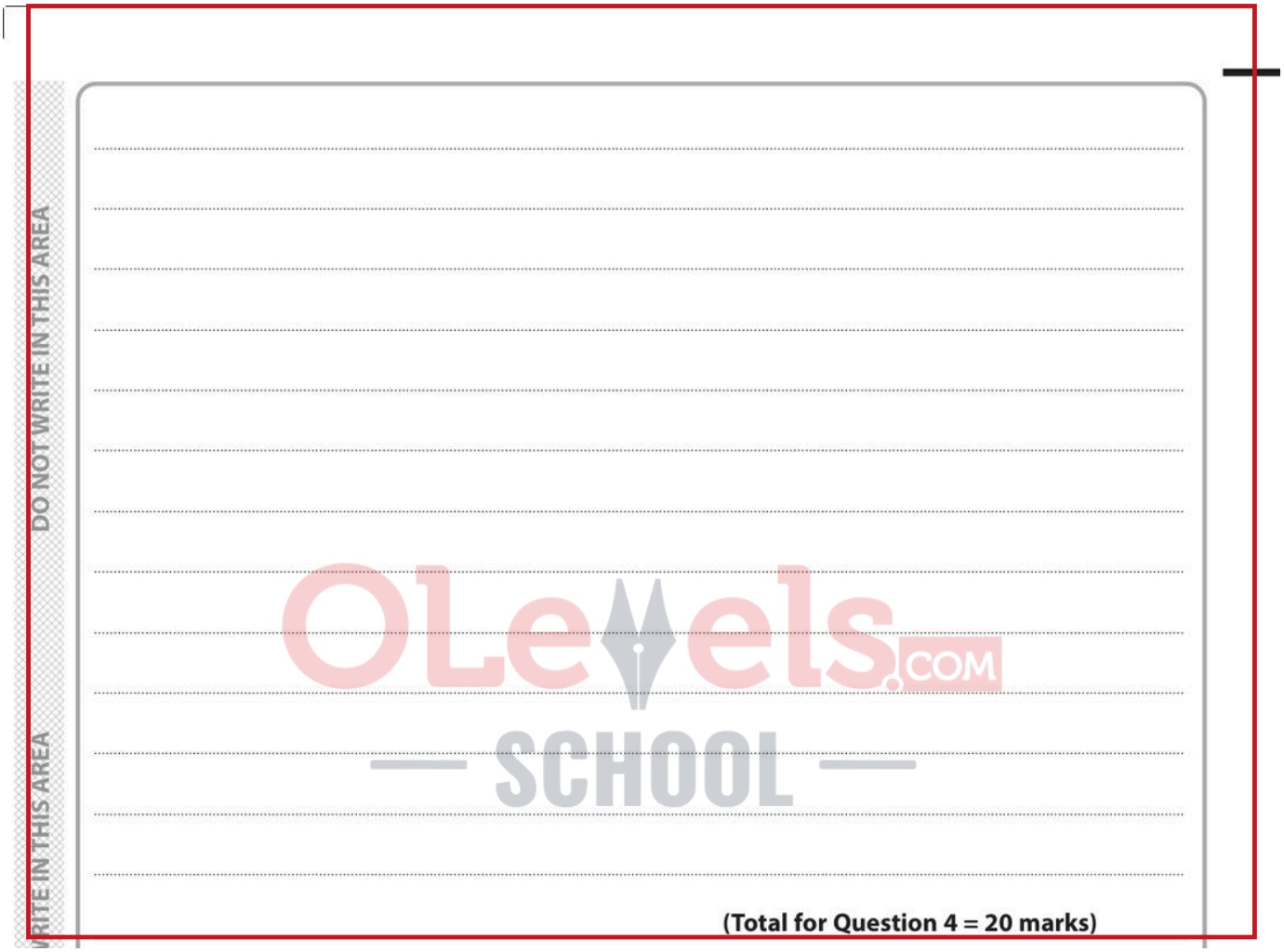
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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



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18. Question 4 · part c · 12 marks · Working and answer

Working and answer

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19. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

4 *PPS* is planning to introduce a new line of dog treats. **Figure 4** shows some financial information for this product.

	€
Monthly fixed costs	1 000
Variable cost per unit	3.25
Selling price	4.50

Figure 4

(a) Calculate the break-even level of output for this new line of dog treats. You are advised to show your working.

(2)

..... dog treats

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19. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Analyse the importance of cash to *PPS*.

(6)

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19. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

Another pet business is about to open a rival pet hotel in the village. This is the first time *PPS* has faced competition.

(c) Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business.

(12)

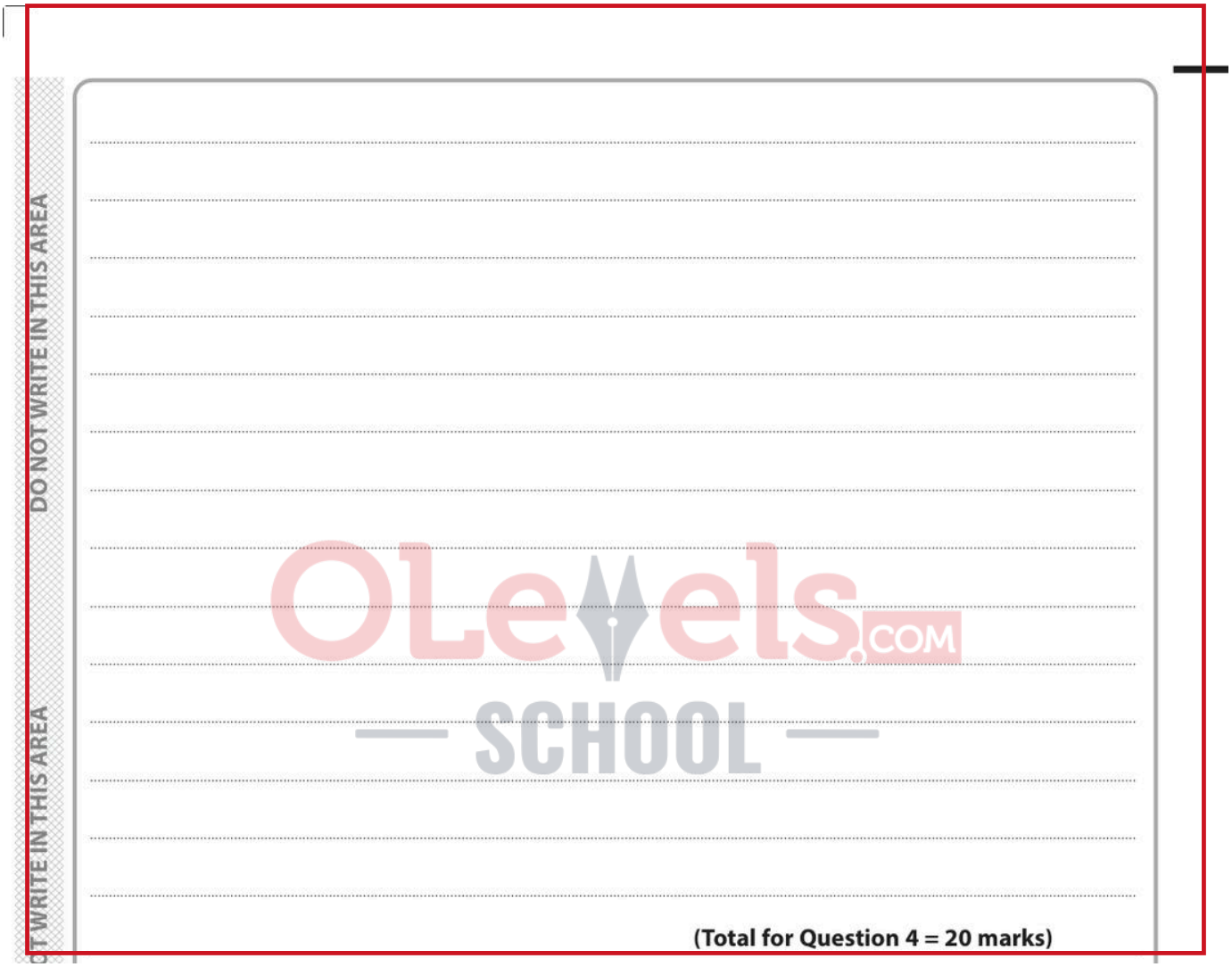
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19. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.



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19. Question 4 · part c · 12 marks · Working and answer

Working and answer

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